

1. Purpose and scope

This policy governs the selection, contracting, monitoring and payment of third-party vendors across all Treelife entities. It applies to every employee who requests, approves or pays for goods or services, and to every contract regardless of value. Departures from this policy are permitted only with a written exception approved by the CFO and recorded in the exceptions register.

2. Contract approvals

2.1 Any vendor contract with an annual value above INR 10,00,000 requires written approval of the CFO before signature.

2.2 Contracts above INR 25,00,000 additionally require Board approval recorded in the minutes.

2.3 Legal must review every contract using a non-standard template before signature.

2.4 Auto-renewal clauses must be flagged to Finance ninety (90) days before the renewal date.

3. Payment terms

3.1 Standard payment terms for all vendor contracts are net 30 days from receipt of a valid invoice.

3.2 Deviations from net 30 must be documented in the contract and approved by Finance in writing before the first invoice is paid.

3.3 Invoices must be matched to a purchase order before payment; unmatched invoices are returned to the vendor.

3.4 Early-payment discounts may be taken only where the discount exceeds the company's cost of capital.

4. Service levels

4.1 Software-as-a-service vendors must commit to a minimum of 99.9% monthly uptime.

4.2 Service credits must be claimed within 30 days of the shortfall; the requesting department is responsible for monitoring.

4.3 Vendors must provide a quarterly service report covering availability, incidents and open actions.

5. Termination

5.1 Contracts must allow termination for convenience with no more than 60 days' notice.

5.2 Contracts must allow immediate termination for material breach, insolvency or change of control of the vendor.

6. Invoice adjustments and waivers

6.1 Any uplift to an invoiced amount requires a signed change order referencing the original purchase order.

6.2 Waivers of contractual penalties or interest must be approved in writing by the CFO; verbal agreements are not recognised.

6.3 Credit notes must be obtained for disputed amounts within 60 days of the dispute being raised.

7. Vendor onboarding

7.1 New vendors must complete the vendor questionnaire, provide GST registration, PAN and bank details on company letterhead, and pass a sanctions and adverse-media screening before the first purchase order is issued.

7.2 Vendors processing personal data must sign the standard data processing addendum and evidence ISO 27001 certification or an equivalent independent assessment.

7.3 Vendor master data may be changed only by the Finance master-data team following a call-back verification with the vendor.

8. Information security requirements

8.1 Vendors with access to Treelife systems must use multi-factor authentication and named accounts; shared credentials are prohibited.

8.2 Vendors must notify Treelife of any security incident affecting Treelife data within 72 hours.

8.3 Access rights are reviewed quarterly and revoked within one business day of contract termination.

9. Conflicts of interest and gifts

9.1 Employees must declare any personal or financial interest in a vendor before participating in its selection or management.

9.2 Gifts or hospitality from vendors above INR 5,000 in value must be declared and may not be accepted during an active tender.

10. Monitoring and audit

10.1 Internal Audit reviews a sample of vendor contracts, invoices and adjustments every quarter and reports findings to the Audit Committee.

10.2 Departments must retain contracts, change orders, invoices and correspondence for eight years.